

For this life application activity, I interviewed my grandpa and my parents. I chose my grandfather for this interview because he is very clearly financially stable/successful, and is also the 'head' of his household without a shadow of a doubt. My grandpa is currently retired. While the assignment asked for two 'heads' of household, implying two singular people, I had to interview my parents as a joint 'head' as they both take on different financial responsibilities and act as 'co-heads' of household. I deem them financially successful due to their ability to handle so many expenses year round while also putting money towards important savings goals. Currently, both of my parents are still working. I received valuable information from these interviews, which I will attempt to summarize and reflect on in the coming response.

For my parents, I was most surprised by my Dad's thoughts on saving for retirement. He had little to nothing to add when it comes to retirement, while my Mom was much more knowledgeable about what was going on regarding that. From what I gathered, my mom has been in charge of managing retirement savings, knowing exact percentages of what her current and previous jobs offered in terms of retirement plans. My dad's lack of knowledge of retirement savings, especially before he met my mom, is what I see as a moderate financial mistake. My mom's emphasis on retirement plans has further influenced me, more than this course already has, to put a special emphasis on my company's retirement savings program as soon as possible.

What my mom does for retirement my dad makes up for in terms of short term expenses and savings goals. My dad handles the family's bills and other immediate planning. He emphasized the use of high yield savings and lower risk investments, including CDs with banks. He also said that I should start to save for a down payment on my first home/living arrangement out of college. This is something that I am going to implement almost immediately, where I will place a certain amount per month into a branch of my savings account called a Vault. This will

make it much easier for me to look for an apartment out of college, even if I won't need to worry about this for the next few years.

My grandfather had a much more anecdotal response than an advice-based one. He spoke of his first company very highly. He stayed there for 37 years, which he claims was as much a financial decision as an emotional one. He said that his personality kept him in the same location, but that the company's financial impact on his family kept him there for the long term. This had a pension plan and excellent medical and dental health insurance coverage. He also mentioned taking advantage of stock purchase plans to help with child care and education costs once my dad and aunt entered college. Once my dad and aunt moved out, my grandpa then bumped up contributions to his job's 401k plan. He said that his job didn't start a 401k plan until the 90s, around 20 years into his employment. He hit the 8% contribution level in 2003, and then mentioned that, for the last 10 years of his employment, 11% total of his annual income went into 401K. Another part of his success in retirement was that the company offered company stock shares each year equal to 20% of his base salary (over 4,000 shares of stock by retirement due to the company's success). When he eventually retired, he worked with financial advisors and made 'smart use of retirement accounts' to live a comfortable life in retirement.

The main thing I learned from my grandfather's anecdotes is that I should look for a job that provides excellent financial stability. While pensions are not common anymore, I will definitely make use of my company's retirement plan and stay with them for as long as it makes sense financially. On that note, I do think my grandpa made a mistake staying with the company for so long, but I can't really comment on that as I don't understand the ins and outs of pensions. Ultimately, I will look to take advantage of the stock market and my company's financial opportunities when I enter into professional life.